

Quality of Earnings

Service Overview

Executive Summary

North Castle Consulting delivers AI-accelerated Quality of Earnings (QoE) analysis for middle-market transactions. We combine deep financial expertise with proprietary AI agents and secure AWS infrastructure to deliver institutional-grade due diligence in a fraction of the time and cost of traditional firms.

The Challenge

In M&A transactions, reported earnings often mask the true economic reality of a business. Buyers risk overpaying based on inflated numbers. Sellers miss opportunities to present their business in the best light. Traditional QoE processes take 4-6 weeks and cost \$75,000-\$150,000+, creating friction in fast-moving deals.

Our Solution: AI-Accelerated QoE

We deploy specialized AI agents orchestrated through secure AWS Data Rooms to analyze 100% of transaction data—not samples. Our seven-component framework examines every aspect of earnings quality, from EBITDA normalization to revenue sustainability to hidden liability detection.

The QoE Framework: 7 Core Components

1. Adjusted EBITDA Bridge

Comprehensive earnings normalization from reported to sustainable cash flow. Includes expense add-backs, revenue adjustments, operational normalizations, and run-rate adjustments.

2. Revenue Quality Assessment

Five-tier taxonomy from contracted recurring to windfall/spot market. Identifies concentration risk and assesses revenue sustainability.

3. Working Capital Deep Dive

DSO/DIO/DPO analysis with manipulation detection algorithms. Identifies window dressing and calculates true NWC requirements.

4. Cash Flow Reconciliation

Net income to free cash flow bridge with variance analysis. Compares adjusted EBITDA to operating cash flow for quality verification.

5. Add-Back Validation

Confidence scoring framework—high, medium, low evidence tiers. Separates defensible adjustments from aggressive assumptions.

6. Management Q&A;

Targeted questions based on analytical findings. Interview preparation, real-time follow-ups, and documentation.

7. Deliverables & Data Room Index

Interactive dashboard, comprehensive written report, and cross-referenced documentation. Every finding linked to source documents for instant verification.

AI Agent Deployment

Each engagement leverages specialized AI agents that accelerate analysis while maintaining forensic rigor:

Sell-Side Agents

- **Add-Back Discovery Agent:** Scans GL for owner perks, related-party transactions, one-time expenses
- **Revenue Normalization Agent:** Classifies revenue by tier, identifies patterns, flags non-recurring items
- **CIM Prep Agent:** Generates recast financials, adjustment bridges, and data room indexes

Buy-Side Agents

- **Transaction Forensics Agent:** Analyzes complete transaction populations for anomalies and red flags
- **Working Capital Detective:** Detects window dressing and calculates true NWC requirements
- **Hidden Liability Hunter:** Surfaces unrecorded obligations and off-balance-sheet exposures

Engagement Types

	Sell-Side (VDD)	Buy-Side (CDD)
Timing	6-12 months pre-market	Post-LOI, 30-45 day window
Objective	Maximize valuation	Validate & protect
Key Activities	Pre-process financials, document adjustments	Stress-test assumptions, find red flags
Deliverable	Recast financials for CIM	Price reduction ammo, NWC true-ups

Why North Castle Consulting

- Speed:** Deliverables in days, not weeks
- Cost:** Fraction of Big 4 pricing, flat-fee options available
- Technology:** Proprietary AI agents + secure AWS infrastructure
- Coverage:** 100% transaction analysis, not sampling
- Experience:** Deep middle-market expertise across industries

Get Started

Whether you're preparing for sale or evaluating a target, we provide the forensic analysis to support confident decisions.

Website: www.northcastleconsulting.com

Email: admin@northcastleconsulting.com

Schedule: calendly.com/northcastleconsulting/qoe-consultation

All engagements operate within SOC 2-compliant AWS environments with full audit trails. No data leaves your control. No black-box algorithms—every finding is traceable to source documents.